

How to configure vendor prepayments in Microsoft dynamics 365 F&O

Prepayments represent amounts paid by a business **in advance of receiving goods or services**. In practical terms, any payment made before delivery or service completion is treated as a prepayment. From an accounting perspective, these advance payments are recorded as **assets** until the related goods or services are received and the cost is recognized.

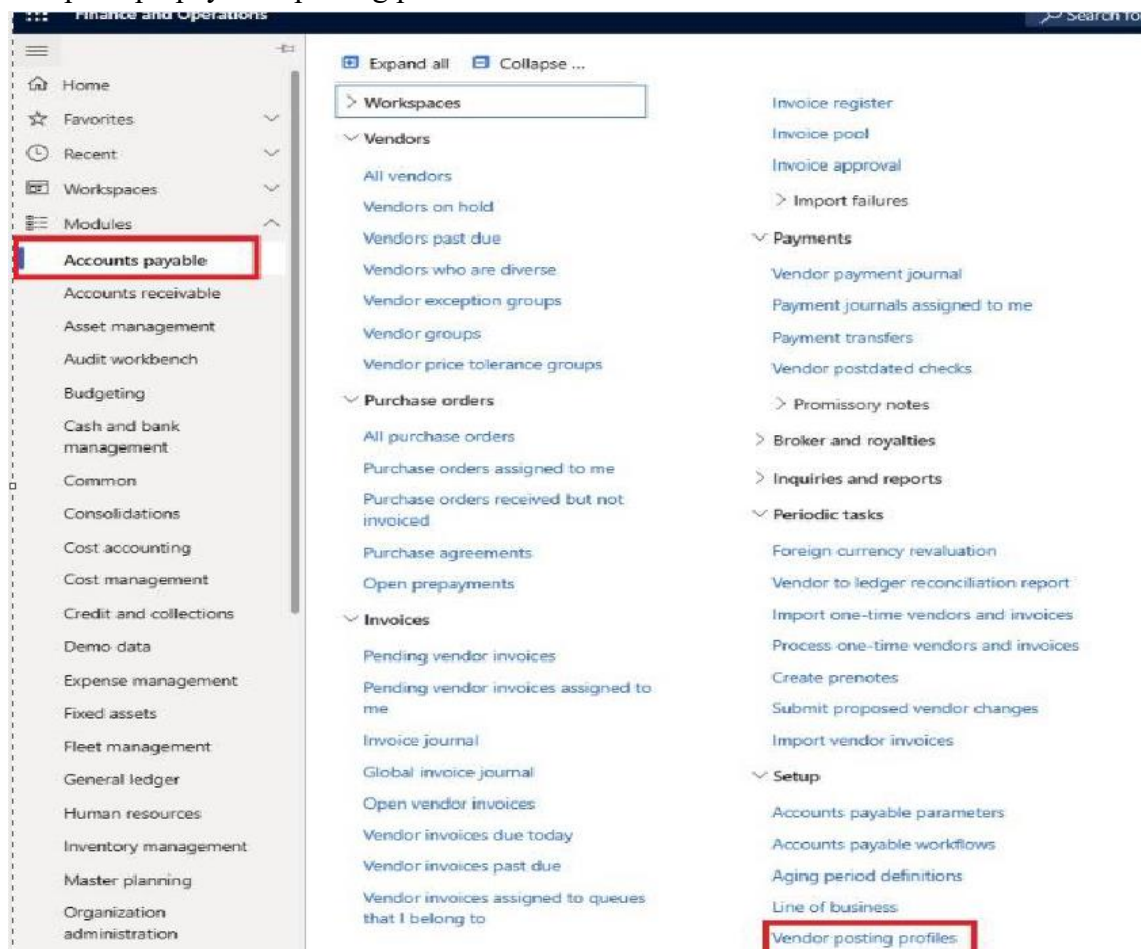
In **Dynamics 365 Finance**, vendor prepayments help organizations manage advance supplier payments in a controlled and transparent manner, ensuring accurate tracking, settlement, and compliance with accounting standards. Proper configuration of vendor prepayments is essential to maintain clear visibility, support audit requirements, and avoid misstatements in financial reporting.

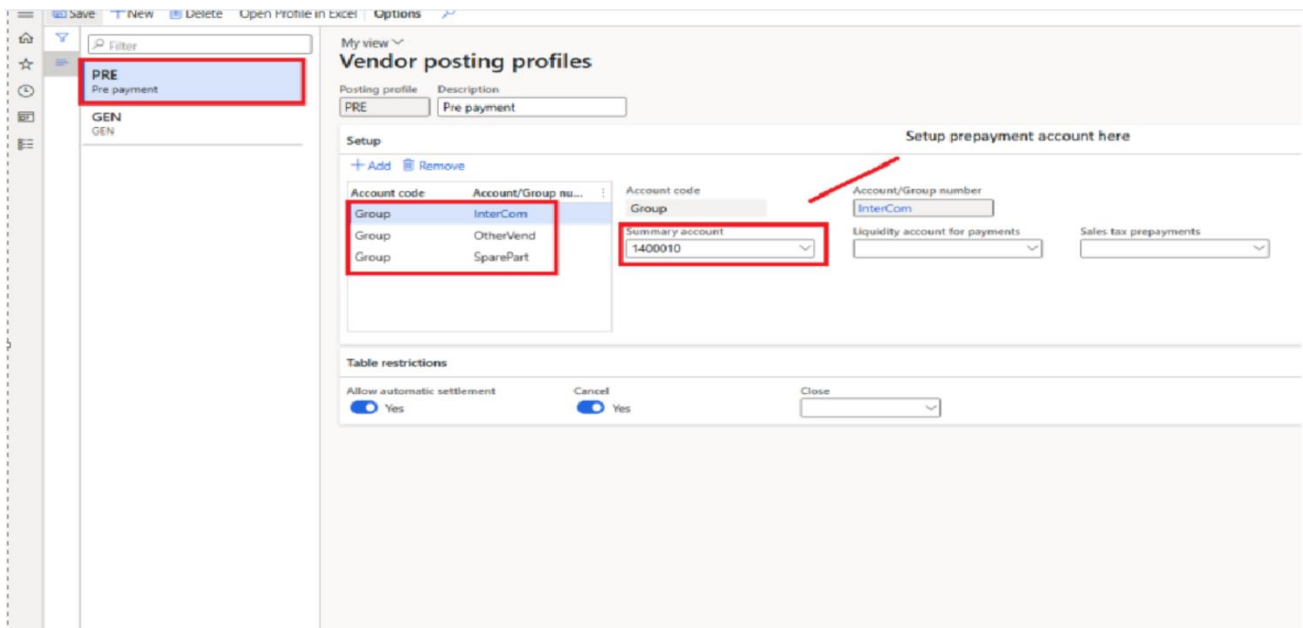
We have two distinct options for making vendor prepayments.

1. **Vendor Invoice**
2. **Directly from Purchase Order**

1. Vendor Invoice

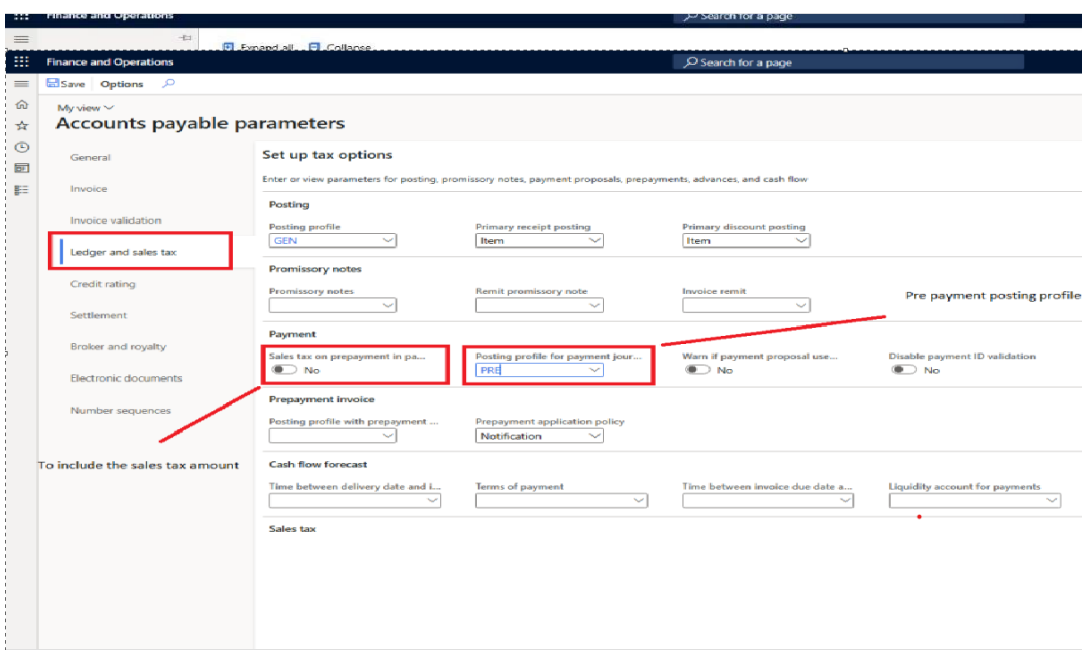
Setup the prepayment posting profiles.





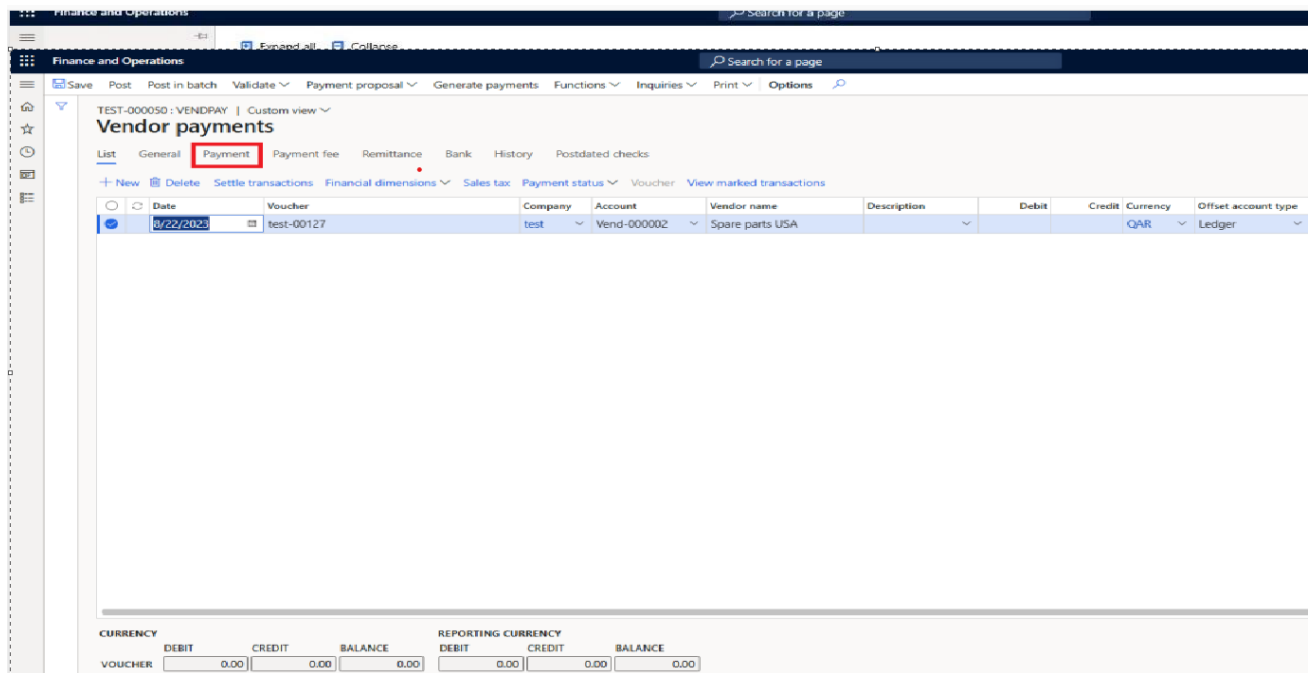
To enable effective management of vendor prepayments in **Dynamics 365 Finance**, the first step is to **configure the prepayment posting profiles** within the **Accounts Payable parameters**. These posting profiles determine how prepayment transactions are recorded in the General Ledger, ensuring that advance payments are correctly posted to dedicated prepayment accounts rather than expense or liability accounts.

By defining the appropriate prepayment posting profiles, organizations can maintain clear separation between **advance payments** and **actual costs**, improve financial transparency, and ensure accurate settlement when the vendor invoice is eventually posted.



Once the prepayment setup is complete, the next step is to **create a vendor payment journal** to record the advance payment against the vendor. This journal captures the prepayment transaction, ensuring the amount is posted to the configured **prepayment account** rather than being recognized as an expense.

Recording the payment through a vendor payment journal allows the prepayment to be accurately tracked and later **settled against the vendor invoice** when the goods or services are received, maintaining proper accounting treatment and financial control.



Finance and Operations

TEST-000050 : VENDPAY | Custom view

Vendor payments

Save Post Post in batch Validate Payment proposal Generate payments Functions Inquiries Print Options

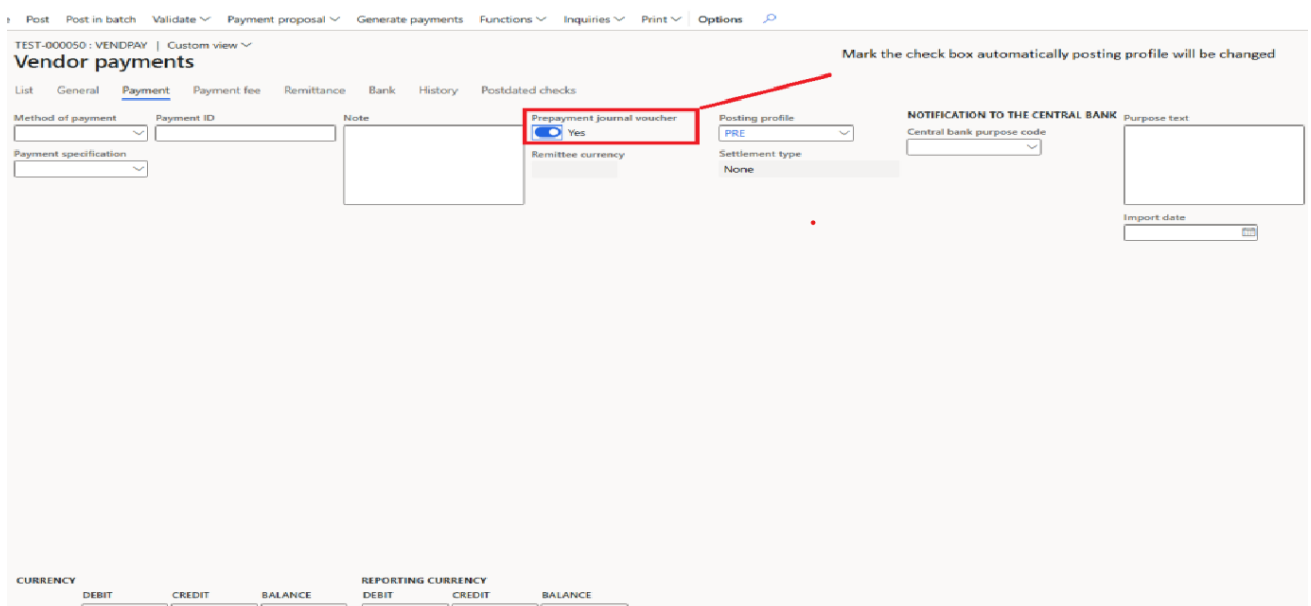
List General **Payment** Payment fee Remittance Bank History Postdated checks

+ New Delete Settle transactions Financial dimensions Sales tax Payment status Voucher View marked transactions

Date	Voucher	Company	Account	Vendor name	Description	Debit	Credit	Currency	Offset account type
07/22/2025	test-00127	test	Vend-000002	Spare parts USA				QAR	Ledger

CURRENCY DEBIT CREDIT BALANCE REPORTING CURRENCY DEBIT CREDIT BALANCE

VOUCHER 0.00 0.00 0.00 0.00 0.00 0.00



Post Post in batch Validate Payment proposal Generate payments Functions Inquiries Print Options

TEST-000050 : VENDPAY | Custom view

Vendor payments

Mark the check box automatically posting profile will be changed

List General **Payment** Payment fee Remittance Bank History Postdated checks

Method of payment Payment ID Note **Prepayment journal voucher** Posting profile

Payment specification Central bank purpose code

Remittance currency Settlement type None

Notification to the Central Bank Purpose text

Import date

CURRENCY DEBIT CREDIT BALANCE REPORTING CURRENCY DEBIT CREDIT BALANCE

VOUCHER 0.00 0.00 0.00 0.00 0.00 0.00

After posting the **vendor payment journal**, review the **voucher and related voucher** to verify that the prepayment has been recorded correctly in the General Ledger and linked accurately to the vendor transaction.

Transactions Audit trail Posted sales tax Original document Accounting source explorer Reverse transactions Reversed tracing **Related vouchers** All related vouchers View reversal failures Options

Prepayment account is debited

Check the prepayment reversal entry

Year closed	Ledger account	Account name	Description	Currency	Amount in transaction currency	Amount	Posting type	Posting
1400010		Vendor prepayments		QAR	500.00	500.00	Vendor settlement	Current
1300004		Cash account		QAR	-500.00	500.00	Vendor settlement	Current

Cash account is credited

Transactions Audit trail Posted sales tax Original document Accounting source explorer Reverse transactions Reversed tracing Related vouchers All related vouchers View reversal failures Options

Prepayment is credited

Account name	Description	Currency	Amount in transaction currency	Amount	Posting type	Posting
Vendor prepayments		QAR	-500.00	500.00	Vendor settlement	Current
Supplier payable		QAR	500.00	500.00	Vendor settlement	Current

Actual vendor account is debited

2. Directly from Purchase Order

Configure the **prepayment posting profile** within the **Inventory Management** module to ensure that inventory-related vendor prepayments are posted correctly and aligned with the overall prepayment accounting setup.

Finance and Operations

Search for a page

Expand all Collapse ...

Inbound orders

- Outbound orders
 - Shipments
 - Picking workbench
 - Picking list registration
 - Planned transfers
 - Transfer order
 - Output orders
- Journal entries
 - Items
 - Movement
 - Inventory adjustment
 - Transfer
 - Bills of materials
 - Inventory ownership change
 - Item arrival
 - Item arrival
 - Production input
 - Item counting
 - Counting
 - Tag counting
 - Inquiries and reports
 - On-hand list
 - Counting history
 - Operations infrastructure

Transactions

- Tracking dimensions
- Quality management
- Transfer orders
- Batches
- Packing material reports
- Location reports
- Transactional reports
- On-hand reports
- Physical inventory reports
- Inventory value reports
- Price/discount reports

Periodic tasks

- Closing and adjustment
- Planned transfer orders
- Release sales order picking
- Release transfer order picking
- Picking workbench
- Inventory blocking
- ABC classification
- Linked dimension update
- Schedule load utilization
- Schedule workload

Generate SHA3 hash string for inventory dimensions

- Transfer update
- Bills of materials
- Quality management
 - Quarantine orders
 - Quality orders
 - Non conformances
 - Corrections
- Locations
- Clean up
- Commodity pricing
 - Generate inspection orders
 - Update best before dates
 - Update expiry dates
 - Update shelf advice dates
 - Validate batch status
 - Update batch disposition status
 - All batch merges
- Forecast updates
- CDS integration

Setup

Inventory and warehouse management parameters

- Inventory management workflows
- Dimensions
- Price/discount
- Charges
- Supplementary items
- Distribution
- Inventory
 - Item groups
 - Item model groups
 - Buyer groups
 - Counting groups
 - Blocking causes
 - Items blocked for inventory updates
 - Counting reason codes
 - Counting reason code policies
 - Change storage dimension group for items
- Inventory breakdown
 - Sites
 - Warehouses
 - Inventory aisles
 - Inventory locations
- Warehouse monitoring

Bills of materials

- Quality control
 - Test instruments
 - Tests
 - Test variables
 - Test groups
 - Quality associations
 - Quality groups
 - Item quality groups
 - Item sampling
 - Workers responsible for quality
- Quality management
 - Journal names
 - Inventory
 - Warehouse management
 - Packing material
- Posting
 - Transaction combinations
 - Dimension link
- Forecast
- Commodity pricing
- Batch
 - Batch disposition master

Inventory management

- Master planning
- Organization administration

Save + New Delete Options

Standard view

Posting

Sales order Purchase order Inventory Production Standard cost variance

Select:

- ☐ Cost of purchased materials received
- ☐ Purchase expenditure, un-invoiced
- ☐ Cost of purchased materials invoiced
- ☐ Purchase expenditure for product
- ☐ Discount
- ☐ Fixed receipt price profit
- ☐ Fixed receipt price loss
- ☐ Fixed receipt price offset
- ☐ Charge
- ☐ Stock variation
- ☐ Purchase, accrual
- ☐ Accrued sales tax on receipt
- ☐ Fixed asset receipt
- ☐ Purchase expenditure for expense
- ☒ Prepayment

Item code	Item relation	Category relation	Account code	Account relation	Sales tax group	Main account
All			All			1300015

Create the **purchase order** and apply the **vendor prepayment**, ensuring that the advance payment is correctly associated with the PO for accurate settlement and tracking.

Finance and Operations

Save + New Delete Purchase order Purchase Manage Receive Invoice Retail Warehouse Transportation General Options Journals

Create Credit note Charges Maintain charges Allocate charges Tax Sales tax Calculate Multiline discount Total discount Supplementary items Prepay Prepayment Remove prepayment Generate Purchase inquiry Confirmation Pro forma confirmation Actions Confirm Finalize Accounting Distribute amounts View distributions Journals Purchase inquiry Purchase order confirmations Send for confirmation Purchase orders ser

All purchase orders Custom view

test-000501 : Vend-000003 - Local spare parts

Purchase order header

DELIVERY	DISCOUNTS	VENDOR	REPLENISHMENT	CROSS DOCKING DATES
Delivery date 8/22/2023	Total discount % 0.00	Contact [Dropdown]	Service category [Dropdown]	Delivery date 8/22/2023
Earliest confirmed delivery [Text]			Location [Dropdown]	Cross docking date [Text]

Purchase order lines

+ Add line + Add lines Add products Remove Purchase order line Financials Inventory Product and supply Update line Warehouse

	T...	Budget ch...	Line number	Product number	Item number	Product name	Procurement category	Variant number	CW quantity	CW unit
1			P-000001	P-000001		Power Brake	Brake			

...
1 rc

Line details

General Setup Address Product Delivery Picking Price and discount Project Product packages Variants Foreign trade Fixed assets Financial dimensions

REQUEST FOR QUOTATION	ORDER LINE	PURCHASE REQUISITION	INTERCOMPANY	DELIVERY REFERENCE
RFQ number [Text]	Procurement category Brake	Purchase requisition [Text]	Origin (intercompany orders) [Text]	Customer requisition [Text]
RFQ reply number [Text]	Product name Power Brake	Requisition product name [Text]	REFERENCE	Customer reference [Text]
RFQ line number [Text]	Text [Text]	SupplierPartAuxiliaryID [Text]	External [Text]	STATUS

Search for a page

ortation General Options

tions Accounting Journals Vendor collaboration

firm Distribute amounts Purchase inquiry Send for confirmation View response on latest sent order

alize View distributions Purchase order confirmations Purchase orders sent for confirmation Purchase order vendor confirmation

You can specify a fix amount or a percentage

Lines Header Open order

REPLENISHMENT CROSS DOCKING DATES

Service category Delivery date Local delivery date

Location Cross docking date Sales date

PRODUCT/

Auto create

Origin

Purchase

Enter the procurement category here

uct and supply Update line Warehouse

Procurement category	Variant number	CW quantity	CW unit	Quantity	Unit	Unit price	Adjusted u
Brake				15.00	ea	540.00	0.000

0.000

ackages Variants Foreign trade Fixed assets Financial dimensions Loads

INTERCOMPANY

Origin (intercompany orders)

REFERENCE

External

DELIVERY REFERENCE

Customer requisition

Customer reference

Stopped

Prevent partial delivery

State

Not submitted

Finalized

Added by P

Save Cancel

Create or edit a prepayment

Description

Pre-Pay Test

Type

Fixed

Percent

Value

150.00

Limit

150.00

Prepayment remaining

150.00

Prepayment application remaining

0.00

Currency

QAR

Prepayment category ID

Car

Generate the **prepayment invoice** for the purchase order and **post** it to record the advance payment against the vendor.

Finance and Operations | Search for a page

Save | New | Delete | Purchase order | Purchase | Manage | Receive | **Invoice** | Retail | Warehouse | Transportation | General | Options

Generate | Bill | Settle | Journals

Invoice | Payment schedule | Open transactions | Invoice
Pro forma invoice | Cash flow forecasts | Pending invoices
Prepayment invoice

Operation completed

All purchase orders | Custom view

test-000501 : Vend-000003 - Local spare parts

Purchase order header

DELIVERY Delivery date 8/22/2023 Earliest confirmed delivery	DISCOUNTS Total discount % 0.00	VENDOR Contact	REPLENISHMENT Service category Location	CROSS DOCKING DATES Delivery date 8/22/2023 Cross docking date
--	--	--------------------------	--	--

Purchase order lines

+ Add line | Add lines | Add products | Remove | Purchase order line | Financials | Inventory | Product and supply | Update line | Warehouse

Budget ch...	Line number	Product number	Item number	Product name	Procurement category	Variant number	CW quantity	CW unit
	1	P-000001	P-000001	Power Brake	Brake			

...
1 to

Line details

General | Setup | Address | Product | Delivery | Picking | Price and discount | Project | Product packages | Variants | Foreign trade | Fixed assets | Financial dimensions

REQUEST FOR QUOTATION RFQ number RFQ reply number	ORDER LINE Procurement category Product name Power Brake	PURCHASE REQUISITION Purchase requisition Requisition product name	INTERCOMPANY Origin (intercompany orders) REFERENCE External	DELIVERY REFERENCE Customer requisition Customer reference
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Finance and Operations | Search for a page

Save | New | Delete | Match product receipts | Update match status | Totals | Post | Default from: Ordered quantity | Attachments (0) | **Vendor invoice** | Financials | Review | Process | Options

Actions
Apply prepayment
Open lines in Excel

Vendor invoice | Standard view

Pre-PayTest : Local spare parts

Vendor invoice header

VENDOR Company test Invoice account Vend-000003 Local spare parts	INVOICE IDENTIFICATION Number Pre-PayTest Invoice description Test pre payment	RELATED DOCUMENTS Purchase order test-000501	Product receipt Purchase agreement	INVOICE DATES Invoice date Due date 8/22/2023	Posting date 8/22/2023	INVOICE On hold Match s Passed Header Budget
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Lines

+ Add line | Remove | Invoice line | Financials | Inventory | Update line

Budget ch...	Item number	Item name	Procurement category	Quantity	Unit	CW quantity	CW unit	Unit price	Line net a...	Product receipt qu...	Price match	Purchase order
		Car		1.00				150.00	150.00	Not performed	Failed	test-000501

Line details

Review the **voucher** to confirm that the prepayment has been posted correctly in the General Ledger.

Search for a page TEST

Transactions Audit trail Posted sales tax Original document Accounting source explorer Reverse transactions Reversed tracing Related vouchers All related vouchers View reversal failures Options

Standard view Prepayment account is debited

Year closed	Ledger account	Account name	Description	Currency	Amount in transaction currency	Amount	Pos
1300015-		Vendor prepayment category	Vendor invoice	QAR	150.00	150.00	Pre
1400002		Supplier payable	Vendor invoice	QAR	-150.00	150.00	Ver

Actual vendor account is credited

Please proceed with posting the original invoice and ensure that the prepayment is appropriately applied.

Finance and Operations Search for a page

Save New Delete Match product receipts Update match status Totals Post Default from: Product receipt quantity Attachments (0) Vendor Invoice Financials Review Pro

Actions
Apply prepayment
Open lines in Excel

Vendor invoice | Standard view

Local spare parts

Vendor invoice header

VENDOR	INVOICE IDENTIFICATION	RELATED DOCUMENTS	Product receipt	INVOICE DATES
Company test	Number	Purchase order test-000501	Pre-Pay	Invoice date
Invoice account Vend-000003	Invoice description		Purchase agreement	
Local spare parts				

Lines

Budget ch...	Item number	Item name	Procurement category	Quantity	Unit	CW quantity	CW unit	Unit price	Line net a...	Product receipt
	P-000001	Power Brake	Brake	15.00	ea			540.00	8,100.00	Passed

Line details

Line details Setup Product Price and discount Project Foreign trade Fixed assets Financial dimensions

Advanced selection options

GENERAL	Procurement category	Quantity	Adjusted unit price	Purchase order
Item number	Brake	15.00	0.00000	test-000501
	Power Brake	ea	1.00	

Finance and Operations

Save Apply prepayment Cancel Options

Filter

Orig-Invoice test-000501

ORIG-INVOICE : LOCAL SPARE PARTS | Standard view

Apply prepayment

Purchase order	Invoice number	Invoice date	Invoice amount	Available application amount	Voucher number	Total application amount
test-000501	Orig-Invoice	8/22/2023	8,100.00	150.00		150.00

Select prepayments to apply

Select	Purchase order	Invoice	Invoice date	Voucher	Prepayme...	Prepayme...	Amount to...	Applied to ...
☒	test-000501	Pre-Pay T...	8/22/2023	Test-1400...	150.00	0.00	150.00	150.00

Save + New Delete Match product receipts Update match status Totals Post Default from: Product receipt quantity Attachments (0) Vendor invoice Financials Review Process Options

Actions
Apply prepayment
Open lines in Excel

Vendor invoice | Standard view

Orig-Invoice : Local spare parts

Vendor invoice header

VENDOR	INVOICE IDENTIFICATION	RELATED DOCUMENTS	INVOICE DATES	INVOICE STATUS DETAILS
Company test	Number Orig-Invoice	Purchase order test-000501	Invoice date 8/22/2023	On hold No
Invoice account Vend-000003	Invoice description Complete invoice	Product receipt Pre-Pay	Posting date 8/22/2023	Match status Passed
Local spare parts		Purchase agreement	Due date 8/22/2023	Header budget check results Budget check not performed

Lines

Budget ch...	Item number	Item name	Procurement category	Quantity	Unit	CW quantity	CW unit	Unit price	Line net a...	Product receipt qu...	Price match	Purchase order	Product re...	Auto-gene...
☐	P-000001	Power Brake	Brake	1.00	ea			540.00	8,100.00	Passed	Passed	test-000501	Pre-Pay	

Line details

Line details Setup Product Price and discount Project Foreign trade Fixed assets Financial dimensions

Advanced selection options

GENERAL	Procurement category	Quantity	Adjusted unit price	Purchase order	Price match
Item number	Car	1.00	0.00000		Not performed
	Text	Unit	Price unit	Quality order status	Budget check results
	Car		1.00	Closed quality order	Budget check not performed

Transaction origin	Transactions	Audit trail	Posted sales tax	Original document	Accounting source explorer	Reverse transactions	Reversed tracing	Related vouchers	All related vouchers	View reversal failures	Options
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10003 | Standard view

Actions

Used	Ledger account	Account name	Description	Currency	Amount in transaction currency	Amount	Posting type
	1400002	Supplier payable	Vendor invoice	QAR	-8,100.00	8,100.00	Vendor balance
	1400005	Vendor accrual account	Vendor invoice	QAR	8,100.00	8,100.00	Purchase accrual
	1300007-	Inventory received but not invoiced	Vendor invoice	QAR	-8,100.00	8,100.00	Cost of purchased ma
	1300002-	Inventory spare parts	Vendor invoice	QAR	8,100.00	8,100.00	Cost of purchased ma
	1500010----	Purchase expenditure for product	Vendor invoice	QAR	0.00	0.00	Purchase expenditure
	1300015-	Vendor prepayment category	Vendor invoice	QAR	-150.00	150.00	Prepayment applicati
	1400002	Supplier payable	Vendor invoice	QAR	150.00	150.00	Vendor balance

Vendor is debited with 150 advance payment

A well-structured vendor prepayment setup in D365 F&O improves financial visibility, supports compliance, and simplifies the procure-to-pay process.